

Retail Equity Research

Tata Power Company Limited

Electric Utilities

BSE CODE: 500400

NSE CODE: TATAPOWER

Bloomberg CODE: TPWR:IN

SENSEX: 67,127

BUY

12 Months Investment Period

Rating as per Large Cap

CMP Rs. 272

TARGET Rs. 301

RETURN 11% ↑

(Closing: 11-09-23)

KEY CHANGES:

TARGET ↑

RATING ↑

EARNINGS ↓

Margins expand on lower input cost

Tata Power Company Limited generates and supplies electricity. It constructs and operates independent power plants, as well as specialises in transmission and distribution of electricity.

- In Q1FY24, consolidated revenue increased 5.0% YoY to Rs. 15,213cr, supported by moderate growth in the transmission and distribution business.
- EBITDA margin rose 850 bps YoY to 21.1%, driven by a decrease in prices of solar cells, modules and wafers. As a result, reported PAT grew 22.4% YoY to Rs. 973cr.
- Capacity expansions, improvement in execution capabilities, and corrections in input prices make the business prospects for the company look promising. Hence, we expect margin improvement to continue, and upgrade our rating on the stock to BUY with a revised target price of Rs. 301 based on SOTP valuation.

Moderate growth in revenue

Consolidated revenue grew 5.0% YoY to Rs. 15,213cr in Q1FY24, led by growth of 3.6% YoY in the transmission and distribution business. The Odisha business stabilised on the back of various restoration and field activities to overcome uncertain weather conditions. The generation business grew a significant 67.5% on a QoQ basis due to improved cost control and better efficiency. The Mundra plant aided performance during the quarter and will continue to operate until 30 September 2023. Its operations may be extended due to heat conditions. In the electric vehicle (EV) business, the company added 4,400 public chargers and 50,000 home chargers and plans to add about 1,200 bus chargers across various cities.

Strong improvement in margins

EBITDA surged 76.0% YoY to Rs. 3,215cr in Q1FY24 on account of a drastic reduction in prices of solar cells, modules and wafers. Hence, EBITDA margin expanded 850 bps YoY to 21.1%. Consolidated PAT grew 22.4% YoY to Rs. 973cr, supported by income from exceptional items (Rs. 235cr).

Key highlights

- In Q1FY24, a capacity addition of 5.8 GW brought the total installed capacity to ~422GW, of which 77% was attributable to renewable energy.
- The company signed a Memorandum of Understanding with the Maharashtra government of Rs. 13,000cr for pumped hydro storage projects. This project will support green energy landscape and generate employment for over 6,000 people.
- Tata Power Renewable Energy Limited signed power purchase agreements for commissioning two solar projects (200MW and 150MW) to provide clean and sustainable electricity to MS&DCL.

Valuation

Owing to extreme weather conditions in the country, consumption of power was lower than expected in the quarter. However, the company recorded healthy performance on account of lower input costs. Capacity additions in the renewable energy segment, corrections in polysilicon and thermal coal prices, strong execution of business, and large capex will aid the company in achieving robust operational and financial performance. Thus, we upgrade our rating on the stock to BUY with a revised target price of Rs. 301 based on SOTP valuation.

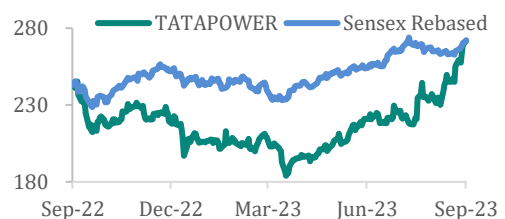
Company Data

Market Cap (cr)	Rs. 86,856
Enterprise Value (cr)	Rs. 131,339
Outstanding Shares (cr)	319.6
Free Float	53.0%
Dividend Yield	0.7%
52 week high	Rs. 277
52 week low	Rs. 182
6m average volume	816,497
Beta	1.0
Face value	Rs. 1

Shareholding %	Q3FY23	Q4FY23	Q1FY24
Promoters	46.9	46.9	46.9
FII's	9.6	9.5	9.8
MFs/Insti	14.7	14.5	14.9
Public	28.0	28.5	27.8
Others	0.8	0.7	0.7
Total	100.0	100.0	100.0
Promoters' pledge	1.4	1.4	1.4

Price Performance	3 Month	6 Month	1 Year
Absolute Return	21.9%	27.3%	9.8%
Absolute Sensex	6.0%	10.4%	11.6%
Relative Return*	15.9%	16.9%	-1.8%

*over or under performance to benchmark index



Consolidated (cr)	FY23A	FY24E	FY25E
Sales	55,109	59,518	64,577
Growth (%)	28.7	8.0	8.5
EBITDA	9,144	10,192	11,520
EBITDA Margin (%)	16.6	17.1	17.8
Adj. PAT	3,336	3,345	3,707
Growth (%)	76.4	0.3	10.8
Adj. EPS	10.4	10.5	11.6
Growth (%)	65.2	0.3	16.8
P/E	18.0	26.0	23.4
P/B	2.1	2.8	2.5
EV/EBITDA	11.5	12.9	11.6
ROE (%)	13.2	12.2	13.0
D/E	1.5	1.3	1.1

Quarterly Financials (Consolidated)

Profit & Loss Account

	Q1FY24	Q1FY23	YoY Growth %	Q4FY23	QoQ Growth %
Revenue	15,213	14,495	5.0	12,454	22.2
EBITDA	3,215	1,827	76.0	2,799	14.9
EBITDA margins	21.1	12.6	850bps	22.5	(140bps)
Depreciation	893	822	8.7	926	(3.5)
EBIT	2,322	1,005	131.1	1,873	24.0
Interest	1,221	1,026	19.0	1,196	2.2
Other Income	25	280	(91.2)	302	(91.8)
Exceptional Items	235	-	n.m.	-	n.m.
Share of profit from Associate	351	803	(56.3)	179	95.8
PBT	1,476	1,062	38.9	1,158	27.4
Tax	335	179	87.4	219	52.6
Reported PAT	1,141	884	29	939	22
Minority Interest	168	89	89.4	161	4.6
PAT att. to shareholders	972	795	22.4	778	25.0
Adjustments	(235)	-	n.m.	-	n.m.
Adj. PAT	737	795	(7.2)	778	(5.2)
No. of shares	319.6	319.6	-	319.6	-
Adj. EPS (Rs.)	2.3	2.5	(7.2)	2.4	(5.2)

Change in Estimates

	Old estimates		New estimates		Change %	
Year / Rs. cr	FY24E	FY25E	FY24E	FY25E	FY24E	FY25E
Revenue	58,416	63,673	59,518	64,577	1.9	1.4
EBITDA	9,842	11,251	10,192	11,520	3.6	2.4
Margins (%)	16.8	17.7	17.1	17.8	30bps	10bps
Adj. PAT	3,566	4,008	3,345	3,707	(6.2)	(7.5)
Adj. EPS	11.2	12.5	10.5	11.6	(6.5)	(7.2)

Sum-of-the-Parts Valuation

Particulars	Methodology	Multiple	% Holding	Value (Rs. cr.)	Value Per Share (Rs.)
Regulated Equity					
- Mumbai Operations	P/BV	3.5x	100.0%	13,926	51
- Jojobera	P/BV	2.5x	100.0%	1,370	4
- Delhi Discom	P/BV	2.5x	51.0%	2,480	8
- Odisha Discoms	P/BV	2.5x	51.0%	2,342	7
- Maithon Power	P/BV	2.5x	74.0%	3,115	10
- Industrial Energy	P/BV	2.0x	74.0%	1,436	4
- Powerlinks Transmission	P/BV	2.0x	51.0%	936	3
Other Operations					
- Renewables	P/E	36.0x		32,196	104
- Coal Operations	EV/EBITDA	5.0x		24,478	77
- Mundra UMPP	EV/EBITDA	4.0x		-653	-2
- Tata Power Trading	P/E	8.0x		187	1
- Other investments	P/BV	1.7x		9,470	30
- Cash				11,207	35
			10% holding discount to investments		(29)
Target Price					301

PROFIT & LOSS

Y.E March (Rs. cr)	FY21A	FY22A	FY23A	FY24E	FY25E
Revenue	32,703	42,816	55,109	59,518	64,577
% change	12.2	30.9	28.7	8.0	8.5
EBITDA	7,442	8,431	9,144	10,192	11,520
% change	(13.4)	12.1	7.6	11.6	13.0
Depreciation	2,745	3,122	3,439	3,590	3,713
EBIT	4,697	5,309	5,705	6,603	7,807
Interest	4,010	3,859	4,372	4,212	4,148
Other Income	1,300	1,553	4,124	2,720	2,312
PBT	1,987	3,003	5,457	5,111	5,970
% change	(16.1)	51.2	81.7	(6.3)	16.8
Tax	502	380	1,647	1,288	1,505
Tax Rate (%)	25.3	12.6	30.2	25.2	25.2
Reported PAT	1,439	2,156	3,810	3,823	4,466
PAT att. to common shareholders	1,127	1,741	3,336	3,345	3,707
Adj*	109	150	-	-	-
Adj PAT	1,237	1,892	3,336	3,345	3,707
% change	56.3	53.0	76.4	0.3	10.8
No. of shares (cr)	319.6	319.6	319.6	319.6	319.6
Adj EPS (Rs.)	3.9	5.9	10.4	10.5	11.6
% change	20.2	49.0	65.2	0.3	16.8
DPS (Rs.)	1.6	1.8	2.0	2.1	2.3

BALANCE SHEET

Y.E March (Rs. cr)	FY21A	FY22A	FY23A	FY24E	FY25E
Cash	5,871	6,641	11,207	9,429	5,395
Accounts Receivable	5,200	5,980	6,952	7,142	8,718
Inventories	1,886	4,232	3,943	4,744	5,560
Other Cur. Assets	12,653	14,591	17,423	17,373	17,337
Investments	12,650	13,750	15,520	14,598	12,904
Gross Fixed Assets	70,388	78,331	85,936	98,137	105,887
Net Fixed Assets	49,039	54,165	58,507	67,757	72,470
CWIP	3,270	4,635	5,376	5,108	4,852
Intangible Assets	3,140	3,224	3,240	3,255	3,270
Def. Tax (Net)	184	335	253	198	231
Other Assets	4,946	5,333	5,928	5,877	5,828
Total Assets	98,839	112,885	128,349	135,480	136,565
Current Liabilities	18,270	24,508	27,062	33,417	33,036
Provisions	667	1,218	1,420	1,448	1,477
Debt Funds	44,542	48,747	50,385	48,017	45,768
Other Liabilities	10,110	12,383	15,278	15,240	15,202
Equity Capital	320	320	320	320	320
Reserves & Surplus	22,003	22,122	28,468	31,144	34,109
Shareholder's Fund	22,322	22,442	28,787	31,463	34,429
Minority Interest	2,927	3,587	5,417	5,895	6,654
Total Liabilities	98,839	112,885	128,349	135,480	136,565
BVPS (Rs.)	70	70	90	98	108

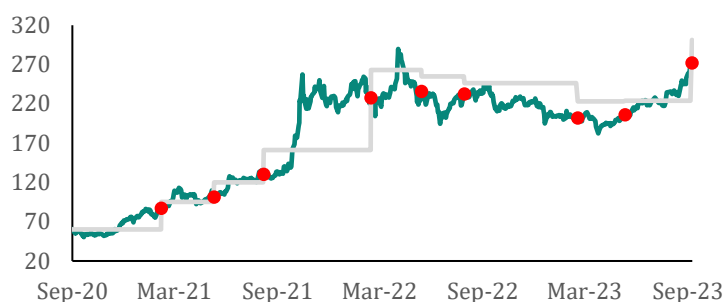
CASH FLOW

Y.E March (Rs. cr)	FY21A	FY22A	FY23A	FY24E	FY25E
Net inc. + Depn.	4,033	5,017	6,894	7,028	7,741
Non-cash adj.	3,800	1,650	4,044	2,174	2,489
Changes in W.C	513	26	(3,779)	4,886	(3,321)
C.F. Operation	8,345	6,693	7,159	14,088	6,909
Capital exp.	(1,787)	(7,233)	(7,606)	(12,201)	(7,749)
Change in inv.	678	(1,128)	(3,549)	(57)	(60)
Other invest.CF	1,776	2,085	3,780	3,972	4,353
C.F - Investment	668	(6,277)	(7,375)	(8,287)	(3,457)
Issue of equity	3,151	758	5,461	-	-
Issue/repay debt	(5,973)	4,157	1,169	(2,368)	(2,249)
Dividends paid	(526)	(559)	(787)	(669)	(741)
Other finance.CF	(4,254)	(5,539)	(4,502)	(4,542)	(4,496)
C.F - Finance	(7,603)	(1,183)	1,341	(7,579)	(7,486)
Chg. in cash	1,410	(767)	1,125	(1,778)	(4,034)
Closing cash	5,871	6,641	11,207	9,429	5,395

RATIOS

Y.E March	FY21A	FY22A	FY23A	FY24E	FY25E
Profitab. & Return					
EBITDA margin (%)	22.8	19.7	16.6	17.1	17.8
EBIT margin (%)	14.4	12.4	10.4	11.1	12.1
Net profit mgn.(%)	3.4	4.1	6.1	5.6	5.7
ROE (%)	6.4	9.6	13.2	12.2	13.0
ROCE (%)	6.7	7.1	6.7	7.7	9.0
W.C & Liquidity					
Receivables (days)	58.0	51.0	46.0	43.8	49.3
Inventory (days)	34.3	58.0	39.1	45.6	49.3
Payables (days)	130.0	143.4	73.5	127.8	109.5
Current ratio (x)	0.8	0.8	0.9	0.7	0.7
Quick ratio (x)	0.4	0.3	0.4	0.3	0.3
Turnover & Leverage					
Gross asset T.O (x)	0.5	0.6	0.7	0.6	0.6
Total asset T.O (x)	0.3	0.4	0.5	0.5	0.5
Int. coverage ratio (x)	1.2	1.4	1.3	1.6	1.9
Adj. debt/equity (x)	1.8	1.9	1.5	1.3	1.1
Valuation					
EV/Sales (x)	2.3	2.8	1.9	2.2	2.1
EV/EBITDA (x)	10.0	14.5	11.5	12.9	11.6
P/E (x)	26.7	40.3	18.0	26.0	23.4
P/BV (x)	1.5	3.4	2.1	2.8	2.5

Recommendation Summary (Last 3 Years)



Source: Bloomberg, Geojit research

Dates	Rating	Target
14-May-21	BUY	120
10-Aug-21	BUY	161
17-Feb-22	BUY	263
18-May-22	HOLD	255
2-Aug-22	HOLD	246
20-Feb-23	HOLD	223
15-May-23	HOLD	224
11-Sep-23	BUY	301

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%
Not rated/Neutral			

Definition:

Buy: Acquire at Current Market Price (CMP), with the target mentioned in the research note.

Accumulate: Partial buying or to accumulate as CMP dips in the future.

Hold: Hold the stock with the expected target mentioned in the note.

Reduce: Reduce your exposure to the stock due to limited upside.

Sell: Exit from the stock.

Not rated/Neutral: The analyst has no investment opinion on the stock.

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

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